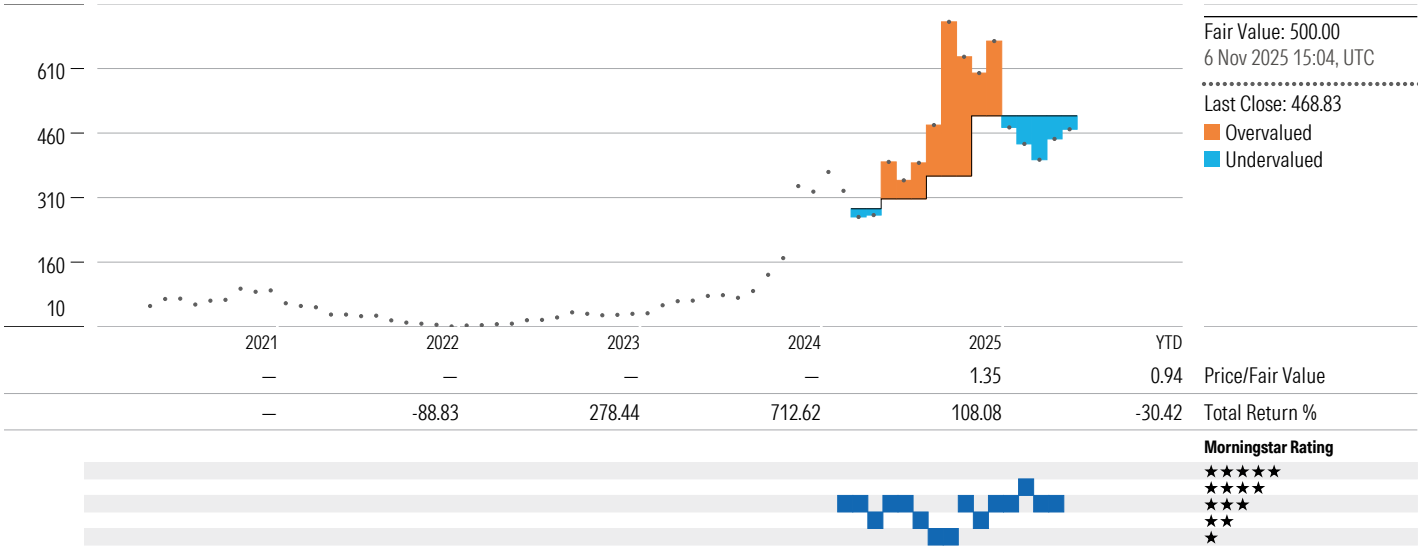
AppLovin Corp Ordinary Shares - Class A APP ★★★ 6 May 2026 23:48, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
468.83 USD 6 May 2026	500.00 USD 6 Nov 2025 21:04, UTC	0.94	157.65 USD Bil 6 May 2026	Narrow	Large Growth	Very High	Standard	 5 May 2026 05:00, UTC

Price vs. Fair Value



Total Return % as of 06 May 2026. Last Close as of 06 May 2026. Fair Value as of 6 Nov 2025 15:04, UTC.

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Research Methodology for Valuing Companies

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

AppLovin Earnings: Axon Momentum Stands Out, but June Self-Service Launch Raises the Bar

Analyst Note Mark Giarelli, Analyst, 7 May 2026

AppLovin's first-quarter revenue rose 59%, and its adjusted EBITDA margin reached 85%—a combination of growth and profitability rarely seen in companies of this size. The planned self-serve advertiser onboarding in June is the next major scaling event.

Why it matters: This quarter reinforces the bull thesis that AppLovin can convert model improvements into profitable growth rather than merely matching the overall increase in digital advertising spending. June's self-serve launch should increase visibility on performance durability, attribution quality, and advertiser retention.

- Customer adoption is the key proof point. Management said March spending was roughly 25% above January, and April exceeded any month in its history—extremely rare, given advertising's seasonal slowness in the first two quarters. We don't think advertisers would increase spending like this without a strong optimization model.
- Saturation remains the main risk. More advertisers create more win/loss data and could strengthen the feedback loop for a better model, but we have long posited that too much competition for similar inventory could eventually compress returns, which would ultimately weaken advertiser demand. We think the latter is possible, but not necessarily probable.

The bottom line: We maintain our $500 fair value estimate, while emphasizing our Very High

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Sector
Communication Services

Industry
Advertising Agencies

Business Description

AppLovin is a vertically integrated advertising technology company that acts as a demand-side platform for advertisers, a supply-side platform for publishers, and an exchange facilitating transactions between the two. About 80% of AppLovin's revenue comes from the DSP, AppDiscovery, while the remainder comes from the SSP, Max. AppLovin's primary tool for future growth is AXON 2, which is an ad optimizer operating within the DSP that allows advertisers to place ads according to specified return thresholds.

Morningstar Uncertainty Rating. The long-term opportunity remains for AppLovin to scale outside of its core gaming business. Our forecast for 35% average annual growth over three years indicates it is more likely than not, but we also balance this potential against the risk of an active Securities and Exchange Commission investigation.

Between the lines: We suspect AppLovin's valuation has been kept in check by the ongoing SEC investigation and a potential competitive threat from Meta. If self-service onboarding in June goes well and we gain clarity on the investigation, we see upside potential to our fair value estimate.

Business Strategy & Outlook Mark Giarelli, Analyst, 12 Feb 2026

AppLovin is a vertically integrated advertising tech company that acts as a demand-side platform for advertisers, a supply-side platform for publishers, and an exchange that facilitates transactions between the two. The firm initially focused on mobile game advertising and monetization, but soon identified a broader need for enhanced user acquisition and optimization tools across content types. AppLovin provides advertisers access to 1.6 billion daily active users. Following the divestment of its gaming studios in early 2025, it is now a pure-play ad tech platform. The company is growing rapidly and has a strong margin profile, earning it the highest Rule-of-40 score in our software universe.

AppLovin's DSP, AppDiscovery, generates approximately 80% of the company's revenue and earns a performance fee when ads drive 'conversion' events, such as in-app purchases or downloads, unlike The Trade Desk. TTD charges a 20% take rate on all ad spending placed on its platform. AppLovin's revenue ties directly to measurable outcomes, with attribution validated by independent third parties like Triple Whale. Remaining revenue comes from its SSP, Max, which charges a 5% tax to publishers for monetizing ad inventory and mobile gaming studios.

In 2023, AppLovin rolled out Axon 2, which facilitates access to ad inventory beyond gaming. Axon 2, which has driven a sharp acceleration in revenue growth, operates as a black-box optimizer, like Google Performance Max and Meta Advantage+, but unlike TTD's Koa, which allows advertisers to have the final say in decision-making. Axon 2 is the engine for future growth, channel expansion, and a more diverse set of advertiser profiles beyond gaming. We are intrigued by AppLovin's intention to automate ad production with new artificial intelligence tools that can increase conversions and drive revenue growth. Early pilot programs targeting e-commerce advertisers and non-gaming inventory have been well received, but scaling beyond initial pilots remains the company's largest unknown.

AppLovin's long-term success, for better or for worse, is married to Axon 2's performance.

Bulls Say Mark Giarelli, Analyst, 12 Feb 2026

- Axon 2 is an innovative and complex ad optimizer that has driven robust growth within AppLovin's profitable ad tech business segment.

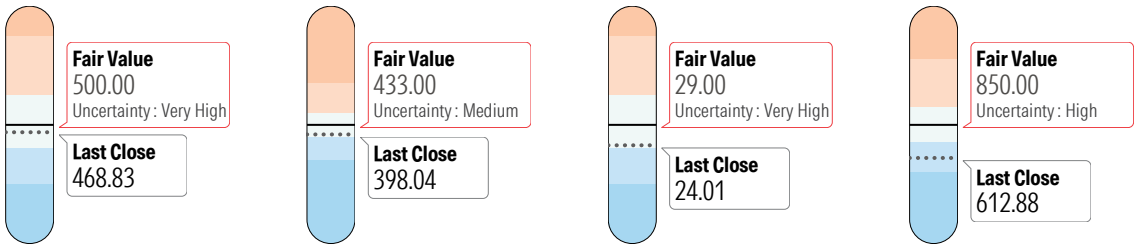
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Competitors



	AppLovin Corp ...ares - Class A APP	Alphabet Inc Class A GOOGL	The Trade Desk Inc Class A TTD	Meta Platforms Inc Class A META
Economic Moat	Narrow	Wide	None	Wide
Currency	USD	USD	USD	USD
Fair Value	500.00 6 May 2026 18:48, UTC	433.00 6 May 2026 18:28, UTC	29.00 6 May 2026 18:43, UTC	850.00 6 May 2026 18:43, UTC
1-Star Price	875.00	584.55	50.75	1,317.50
5-Star Price	250.00	303.10	14.50	510.00
Assessment	Fairly Valued 6 May 2026	Undervalued 6 May 2026	Fairly Valued 6 May 2026	Undervalued 6 May 2026
Morningstar Rating	★★★6 May 2026 05:00, UTC	★★★★6 May 2026 05:00, UTC	★★★6 May 2026 05:00, UTC	★★★★6 May 2026 05:00, UTC
Analyst	Mark Giarelli, Analyst	Malik Ahmed Khan, Senior Equity Analyst	Mark Giarelli, Analyst	Malik Ahmed Khan, Senior Equity Analyst
Capital Allocation	Standard	Exemplary	Standard	Standard
Price/Fair Value	0.94	0.92	0.83	0.72
Price/Sales	29.64	11.08	4.11	7.29
Price/Book	75.28	9.70	4.62	6.36
Price/Earning	47.31	29.23	26.78	22.20
Dividend Yield	0.00%	0.22%	0.00%	0.35%
Market Cap	157.65 Bil	4,822.43 Bil	11.29 Bil	1,555.75 Bil
52-Week Range	290.96—745.61	147.84—399.85	19.74—91.45	520.26—796.25
Investment Style	Large Growth	Large Blend	Small Blend	Large Blend

- Acquisitions of Wurl and MoPub in 2022 have incorporated connected television ad inventory and mediation services, which greatly increase the total addressable market and remove ad exchange middlemen.
- AppLovin can benefit from a positive feedback loop in which more advertisers joining the platform results in more data, which improves the optimizer, delivering better results, and attracting more advertisers.

Bears Say Mark Giarelli, Analyst, 12 Feb 2026

- Axon 2 may face a saturation threshold, where performance deteriorates as more advertisers compete for the same inventory.
- The success of AppLovin's expansion into additional advertising inventory types, like connected television and the open internet, remains highly uncertain with potential shortfalls relative to market expectations.

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- AppLovin has been subject to multiple short-seller reports that allege inflated attribution and conversion metrics. More short reports, if released, will likely weigh on the stock.

Economic Moat Mark Giarelli, Analyst, 12 Feb 2026

We believe that AppLovin warrants a narrow moat rating based on intangible assets.

AppLovin's most valuable asset is Axon 2, a complex "black-box" advertising optimizer. Advertisers on the AppLovin platform specify a budget constraint (what they are willing to pay to acquire users), their desired geographic regions, and their desired return on advertising spending. Axon 2 takes these inputs and deploys advertisements to users most likely to download or engage with the advertised product or application. Effectively, the black box has three inputs and then does the rest of the work. "The rest of the work" is identifying the most susceptible users so AppLovin can collect performance-based revenue commissions. This opaqueness differs sharply from The Trade Desk's strategy of providing the advertiser with granular control over programmatic decision-making, but it also automates a time-consuming, manual process of modifying deployment strategies, which can be attractive to advertisers.

To illustrate AppLovin's strengths, we look at third-party attribution metrics from Northbeam and AppLovin's financial performance since launching Axon 2. According to Northbeam, AppLovin is driving a 45% higher return on ad spending than Meta and 115% higher compared with secondary advertising platforms like TikTok, Pinterest, Snapchat, and YouTube. While some return compression could be expected as more advertisers join the platform and compete for similar inventory, the recent outperformance is remarkable in magnitude. Additionally, Northbeam notes that AppLovin is extremely good at customer acquisition. For example, 85% of the purchases through AppLovin ads are from first-time buyers, which is a great justification for advertisers to join AppLovin's DSP. The complexity of training Axon 2 increases the durability of the firm's competitive advantage. Specifically, Axon 2 is trained on 13 years of first-party user behavior data from the gaming division. The first-party training data has been further reinforced with strategic acquisitions of exchanges and data attribution firms, which provide advertising flow data and post-user acquisition behavior information, respectively. With outperformance in return on ad spending and training complexity, AppLovin's proprietary Axon 2 has creates a durable intangible asset that drives meaningful results.

AppLovin sharply increased research and development spending to train Axon 2 prior to the 2023 launch, and AppLovin has continued this investment to maintain its competitive advantage and ensure that Axon 2 remains a moving target for competitors. AppLovin employs a large number of PhD researchers in its machine-learning division who have been working on first-party data and distillation modeling techniques for two years—predating the recent inflection point seen with DeepSeek's advancements. While tech behemoths like Google and Meta are also leveraging AI distillation techniques and have more researchers, their focus is primarily on optimizing ads within their ecosystems, while AppLovin is aiming for the broader internet, including connected television

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streaming applications. Prioritizing one's own advertising inventory inherently places a "silo" constraint on the efficiency of system that works best without constraints. We believe that AppLovin's focus on the broader internet and CTV will enhance the durability of Axon 2's competitive advantage against firms with the most resources to displace it.

Additionally, we have seen a roughly 30-percentage-point lift in advertising revenue growth rates since the rollout of Axon 2. Currently, the only bottleneck for more growth is the manual onboarding process of large advertisers outside of the traditional gaming contingent. AppLovin claims it is adding nearly 100 e-commerce advertisers a month, and that demand has outpaced supply (employees dedicated to onboarding). In the first half of 2025, AppLovin plans to roll out an automated onboarding process to alleviate structural constraints and allow the company to scale more effectively.

As AppLovin onboards additional users, more bids will be placed throughout the digital ecosystem, providing Axon 2 with greater win/loss information to refine its optimization. These incremental improvements can create a positive feedback loop: as performance improves, more advertisers are drawn to the platform, increasing the volume of training data, enhancing conversion rates, and attracting even more advertisers, potentially compounding Axon 2's effectiveness. We believe this positive feedback loop constitutes a weak indirect network effect. Still, we are unwilling to attribute network effects as a primary moat source because the potential for performance degradation as more clients join the platform. As more advertisers join the platform and compete for the same inventory, the mispriced supply that Axon identifies could be competed away.

We believe switching costs could also emerge in the future as advertisers dedicate more of their budgets to AppLovin's black-box approach. We also like the firm's differentiation from its main competitor, TTD, because it offers a vastly different value proposition: AppLovin is hands-off automation, while TTD provides high-touch advertiser control. That said, we believe switching costs will be more subdued for low-touch AppLovin than for a high-touch platform like TTD, since TTD encourages marketers to spend weeks refining their targeting algorithms on the TTD platform.

Overall, we acknowledge that much of AppLovin's future hinges on securing buy-in beyond gaming inventory and gaming advertisers, but we believe that Axon 2 is delivering tangible results for diverse advertisers and warrants a narrow moat rating for the company.

Fair Value and Profit Drivers Mark Giarelli, Analyst, 12 Feb 2026

Our $500 fair value estimate implies an enterprise value equal to 22 times our 2026 sales estimate.

In our view, the primary drivers of the company's value are the growth of digital advertising budgets, advertisers' willingness to explore AXON 2's black-box programmatic advertising solution, the penetration of ad markets outside of gaming, and international expansion. The digital advertising

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market is massive, with approximately $800 billion in annual spending today. We expect the market to reach $1.5 trillion by 2034, driven by GDP growth and advertisers' demand for programmatic, omnichannel solutions.

Since going public, AppLovin has consistently outpaced industry growth, underscoring its early market penetration. We estimate AppLovin accounts for just under 2.5% of digital advertising spending, and we expect this to increase to approximately 8% penetration by 2034. As part of our analysis, we establish a historical AppLovin growth/market growth multiple of 5 times. We expect this pace of market capture to slow throughout the projection period, averaging 3 times as the company scales. This translates to a 30% average annual growth rate over the next five years.

As a software solution, AppLovin enjoys operating leverage on almost every major cost line item. The firm's largest costs, like salaries, do not increase one-for-one with revenue increases. As for variable costs, we see some competing pressures. With cloud-hosting fees (captured primarily within cost of revenue), we expect increases as AppLovin adds advertisers to the platform, increasing demand for computing resources. With fees related to in-app purchases going away after the shift away from gaming, we project moderate gross margin expansion from 75% in 2024 to 85% in 2034.

As for sales and marketing expenses, we expect user acquisition costs to compress with the automated customer onboarding rollout. Plus, promotions won't be needed to drive downloads of AppLovin-owned games after the divestiture. Altogether, we expect sales and marketing costs as a percentage of net revenue to drop from 14% in 2024 to 7% in 2034.

R&D costs will likely increase in some respects due to ongoing enhancements to the highly complex Axon 2. On the other hand, AppLovin will no longer develop original gaming titles. As such, we keep R&D as a percentage of net revenue a flat 8% of revenue until 2034.

Overall, we believe AppLovin is uniquely positioned as a solution for programmatic advertising on gaming, CTV, and the open internet. Management's ability to make the transition from gaming to a pure-play ad tech innovator will dictate whether this is a success story or a case of overzealous expansion. We are starting to see measurable benefits to operating performance thanks to Axon 2, and we are optimistic that this AI-optimization engine will drive profitable growth over the long run.

Risk and Uncertainty Mark Giarelli, Analyst, 12 Feb 2026

We assign AppLovin a Very High Morningstar Uncertainty Rating. In our view, the success of Axon 2 in expanding beyond gaming advertisers and gaming inventory to penetrate connected television and the broader internet represents the largest uncertainty. Management reports that early Axon 2 pilot programs have shown positive results across various advertisers. Advertiser demand appears to outpace AppLovin's ability to onboard users, creating a bottleneck to growth. However, we are bullish on

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the firm's plans to automate onboarding by 2026.

One key concern is the potential for Axon's optimization performance to drop sharply as the number of advertisers grows, potentially overwhelming the system and reducing efficiency. It is also possible that this point is never reached and there is instead the emergence of an indirect network effect, or positive feedback loop, in which advertisers join the platform, create more win/loss data and engagement data, which then feeds into the Axon 2 optimizer and improves performance, which then attracts more advertisers. Taken together, there is massive uncertainty that creates a very wide distribution of potential outcomes.

We also note that AppLovin is subject to an SEC investigation and has been under fire from a variety of short-sellers who have questioned the legitimacy of the company's conversion quality and attribution data. We believe these short-selling reports contain inaccuracies and misunderstandings of AppLovin's performance-based revenue model, but they—along with news of an SEC investigation into AppLovin's data collection practices—have pressured the stock upon release. The claims also ignore the existence of third-party attribution providers, which independently validate AppLovin's ad efficacy.

We find ESG risks to be low for AppLovin, with the only material uncertainty revolving around human capital and the company's ability to retain machine-learning researchers.

Capital Allocation Mark Giarelli, Analyst, 12 Feb 2026

We assign AppLovin a Standard Capital Allocation Rating based on its sufficiently sound balance sheet, fair investments, and appropriate shareholder distributions.

AppLovin faces high revenue cyclicality due to its dependence on advertiser budgets, which fluctuate notoriously with economic sentiment. We believe the firm has moderate operating leverage since approximately 50% of expenses are tied to fixed costs like salaries, amortization of acquired technology, consistent investment in Axon-related R&D, and baseline data center costs, while the other 50% is variable in nature and related to payment processing for in-app purchases, increasing cloud compute demands with more traffic, new R&D initiatives, and customer acquisition costs. We deem this bifurcation to be standard for an ad tech company, and we are confident that this operating leverage will benefit the company as it grows. Additionally, we like the recent increases in yield on both R&D and sales and marketing expenses post-Axon 2 launch. We believe balance sheet risk is low, with debt falling from 6.4 times EBITDA in 2022 to 0.8 times at the end of 2025. We project debt/EBITDA to improve to 0.4 times by 2028. The company has no debt maturities until 2029, when $1 billion comes due.

Overall, we view AppLovin's acquisition strategy positively, as it enhances Axon 2 training and widens the firm's addressable market. In 2020, AppLovin bought Machine Zone, the maker of Game of War: Fire and Ice, for approximately $500 million. The company is now attempting to divest its gaming segment, but we believe this acquisition provided valuable first-party data for the training of Axon 2. The acquisition of Adjust, a German attribution company, in 2021 for approximately $1 billion, also

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enhanced Axon 2 training with engagement metrics, conversion data, and user-behavior analysis. AppLovin purchased MoPub and Wurl in 2022 for approximately $1 billion and $500 million, respectively. MoPub was a mobile ad mediation platform, or exchange, acquired from Twitter, which helps manage the buying and selling of ad inventory. The MoPub acquisition was a key step in AppLovin's transition into a vertically integrated ad platform. Wurl was a supply-side monetization specialist with significant inroads in the CTV market.

Since AppLovin is in a high-growth phase, it does not pay a dividend, and we do not expect this to change. With strong cash generation, the firm approved a $2.3 billion share repurchase program, with deployment at the board's discretion. Much of this program was used in 2025, and we anticipate another funding for repurchases to occur sometime in 2026. Overall, we think the shareholder distribution strategy is appropriate given the firm's current position and future growth prospects.

Analyst Notes Archive

AppLovin Earnings: AI Advertising Platform Growing Rapidly and Profitably; Valuation Raised Mark Giarelli,Analyst,6 Nov 2025

AppLovin is trading higher after third-quarter advertising revenue came in 6% above the midpoint of management's expectations, equal to impressive 68% year-over-year growth. The adjusted EBITDA margin also beat management's forecast of 81% by 1 percentage point. Why it matters: AppLovin's Rule-of-40 score, a combination of revenue growth and operating margin, came in at an outstanding 151%—surpassing even Palantir's 114% and Nvidia's 120%—demonstrating continued rapid growth and an attractive cost profile with a small employee base. Management claims that its artificial intelligence-powered advertising platform Axon 2, and its referral-only onboarding process launched Oct. 1, has been experiencing 50% week-over-week increases in total spending. We anticipate that a more widely available self-service program will be operational by 2026. We are intrigued by the potential for new AI production tools, like Google's Veo 3 and OpenAI's Sora 2, to enhance conversion rates, or CVR, the primary growth lever for AppLovin. We estimate a 1% CVR currently, but it's possible these tools could increase that further. The bottom line: We maintain our narrow moat rating and raise our fair value estimate from $360 to $500, reflecting advertising margins that are far better than we initially expected. The fair value increase translates to an increase from 7.4% penetration of the $1.5 trillion digital advertising marketplace in 2034 to 8.4%, slightly over double our expected penetration for The Trade Desk. We believe this is reasonable, given AppLovin's superior capabilities. We highlight our Very High Uncertainty Rating, given the potential for an Axon saturation threshold (where performance deteriorates as more advertisers join the platform) and the possibility that firms like Alphabet retaliate against AppLovin amid a US Securities and Exchange Commission probe on its data collection practices.

AppLovin: SEC Probe Into Data Collection Practices Lends Some Legitimacy to Short Reports Mark

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AppLovin Corp Ordinary Shares - Class A APP ★★★ 6 May 2026 23:48, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
468.83 USD 6 May 2026	500.00 USD 6 Nov 2025 21:04, UTC	0.94	157.65 USD Bil 6 May 2026	Narrow	Large Growth	Very High	Standard	5 May 2026 05:00, UTC

Giarelli,Analyst,7 Oct 2025

AppLovin's stock price fell 14% after Bloomberg reported that the Securities and Exchange Commission is investigating the company's data collection practices. Previous short reports accused AppLovin of violating partner platforms' (Meta, Google, and so on) terms of service. Why it matters: While regulatory probes don't always lead to penalties, the SEC's investigation into AppLovin's data collection methods underscores the increased risk involved in investing in the firm and the lack of transparency surrounding its new black-box advertising optimization engine, Axon 2. We have previously written about multiple short-seller reports targeting AppLovin, but have always considered TOS violations with major advertising companies such as Meta, Google, and Apple to be the most credible and consequential of the accusations, given potential retaliation. The SEC probe into a whistleblower complaint and short-seller accusations opens the door for potential fines should the agency determine that AppLovin truly violated other platforms' TOS. The bottom line: We maintain our narrow moat rating and $360 fair value estimate, while emphasizing our Very High Uncertainty Rating and acknowledging that several regulatory and retaliatory risks could still emerge in the near term on an adverse SEC conclusion. We believe the most consequential risk would be retaliation from Meta or Google rather than the fine itself. The larger platforms could restrict advertisers from using AppLovin tracking pixels on their websites as a condition for retaining access to Meta's or Google's ad inventory. AppLovin, Meta, and Google all cater to small to midsize advertisers. If those clients had to choose between AppLovin's open internet tools and access to Meta's or Google's ad inventory, most would opt for the latter, which would hinder AppLovin's nongaming ad expansion goals.

AppLovin: S&P 500 Inclusion Contributes to Favorable Momentum, but Shares Appear Overvalued

Mark Giarelli,Analyst,8 Sep 2025

AppLovin rallied 10% in early trading on Monday, Sept. 8, after Friday's announcement that it would be included in the S&P 500 along with Robinhood and Emcor. Why it matters: With around $7 trillion benchmarked or indexed to the S&P 500, inclusion creates a near-term positive for AppLovin. There will now be a steady passive bid from index trackers and investors who benchmark to that index. Because index-investing strategies have likely already front-run the announcement, combined with our view that the company is overvalued, there isn't a trade here for investors. The bottom line: We maintain our $360 fair value estimate, as nothing has fundamentally changed with the company. We see AppLovin as overvalued, but we emphasize our Very High Uncertainty Rating, since so much hinges on the successful rollout of its black box for nongaming advertisers. The black box is designed to identify mispriced advertising inventory and generate a high return on ad spending. It has proved effective in monetizing mobile gaming inventories and expanding gaming businesses, but its broader use with e-commerce advertisers and new inventories remains uncertain. AppLovin's shares have surged since April and now trade at a 350% enterprise value/sales premium compared with The Trade Desk. For ad

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tech exposure, we believe TTD offers a much better risk/reward profile but acknowledge that AppLovin could continue to trade higher in the near term. Coming up: AppLovin has around 600 advertisers on the black box, but it has been selective about bringing on new clients. It plans an international rollout based on customer referrals in October. Since most of AppLovin's user audience is international, success here would be a tailwind.

AppLovin Earnings: Black Box Optimizer Aims for Large Market; Increasing FVE to $360 From $307

Mark Giarelli,Analyst,7 Aug 2025

AppLovin's second-quarter earnings came in 4% above management's midpoint expectations for advertising revenue, culminating in impressive 77% year-over-year growth. It also met 81% adjusted EBITDA margin expectations and finalized the divestment of its gaming production business. Why it matters: AppLovin is officially a pure-play ad tech platform, aiming to conquer an addressable market much larger than its gaming roots. The black box ad optimizer, Axon, has been available by invitation only, but is moving to a referral launch and international expansion in the fourth quarter. Axon is a sophisticated ad purchasing engine for Applovin's demand-side platform. The firm claims that more than 600 nongaming advertisers are in the backlog, with a return on ad spending that rivals top-of-class tools from Meta. AppLovin's expansion to nongaming advertisers is likely to gain steam in the second half and facilitate top-line growth. The transition to ad tech makes The Trade Desk its primary competition, but AppLovin's strategy is based more on machine learning, and the customer profile is smaller. The bottom line: We maintain our narrow-moat rating and raise our fair value estimate to $360 from $307 based on company guidance that works toward a run rate of nearly $5.2 billion in advertising revenue for 2025—a 60% increase from 2024. Our Very High Uncertainty Rating underscores the opacity around Axon's future success. In a perfect world, there is a positive feedback loop in which Axon collects more user behavior data and improves. On the flip side, more advertisers on the same Axon strategy can arbitrage away ROAS. Its digital advertising penetration is low, around 1%-2%, but our model now projects a 7% penetration (up from 6%) on a $1.5 trillion addressable market by 2034, which is better than our projection of 5% penetration for The Trade Desk and partially justifies Applovin's 60% price/sales premium over The Trade Desk.

AppLovin Earnings: Revenue Beat Illustrates Large Open Internet Opportunity; Lifting Fair Value 8%

Mark Giarelli,Analyst,8 May 2025

AppLovin shares are up 13% in after-hours trading after announcing revenue in its advertising segment beat management guidance by 11% during the first quarter. Total revenue beat FactSet analyst expectations by 5%. AppLovin also entered into a definitive agreement to sell the gaming division.Why it matters: AppLovin's divestment of its mobile gaming studio is progressing, positioning the firm as an advertising technology company with a stronger growth and margin profile. AppLovin's Axon 2 optimization model is rapidly attracting customers, scaling the advertising business. AppLovin's

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repositioning of the core business allowed the adjusted EBITDA margin to increase to 68% in the first quarter. These margins should progress upward to the low- to mid-80s in the longer term as machine-learning advertisement optimization becomes the firm's exclusive focus. Early data on the optimizer's ability to attract and retain customers appears positive, with 71% year-over-year growth in performance-based revenue and customer churn among e-commerce advertisers that spend at least $250,000 on the platform at less than 3%. The bottom line: We keep our narrow moat rating and Very High Morningstar Uncertainty Rating, and increase our fair value estimate by 8% to $307 per share, based on an improved revenue outlook over the next three years in which AppLovin makes Axon 2 adoption easier with a self-service feature. The self-service feature is expected to be rolled out later this year, which should improve the current process that requires manual customer onboarding. Increased adoption should facilitate more live model training, facilitating better model performance. Between the lines: During the earnings call, AppLovin avoided discussing the short-seller reports released last quarter, which had weighed on the stock. Overall, we still have concerns over the possibility that Axon uses persistent identity graphs and potentially violates the terms of service of major publishers.

AppLovin: Another Short-Seller Report; Tracking Pixels or PIGs Mark Giarelli,Analyst,28 Mar 2025

On March 27, 2025, Muddy Waters Research released a short-seller report on AppLovin, alleging management overstates return on advertising spending, aggressively retargets to “steal attribution,” and most importantly, violates Google’s and Meta’s (and others) terms of service by creating persistent identity graphs to train its advertising optimization model. A PIG is a collection of user identifiers from multiple platforms, obtained against the TOS, and combined to create a persistent digital profile for a specific user. After report’s release, shares quickly fell 20% from $325 to $260.We maintain our $284 per share fair value estimate and narrow moat, but emphasize our Very High Morningstar Uncertainty Rating due to AppLovin’s dependency on its ad optimization model and success with e-commerce advertisers.Certain claims in the report, notably aggressive retargeting practices, seem misplaced. Retargeting is common and not inherently problematic. However, the allegation of explicitly violating platforms’ TOS through unauthorized collection and aggregation of proprietary IDs into PIGs without explicit consent is concerning. Meta’s proprietary ID is like an extra house key (ID) lent to a contractor. The contractor can use the key (ID) for certain agreed-upon work (attribution) but not copy or reuse it elsewhere without permission (creating PIGs to train a competing ad optimization model.)AppLovin’s CEO responded on March 27, emphasizing that the firm’s tracking pixel usage mirrors Meta’s and Google’s practices. That said, the critical question remains whether AppLovin is legitimately using standard tracking pixels without personal identification information, or PII, to train its model—an accepted practice—or aggregating proprietary platform identifiers without explicit consent to train its model.

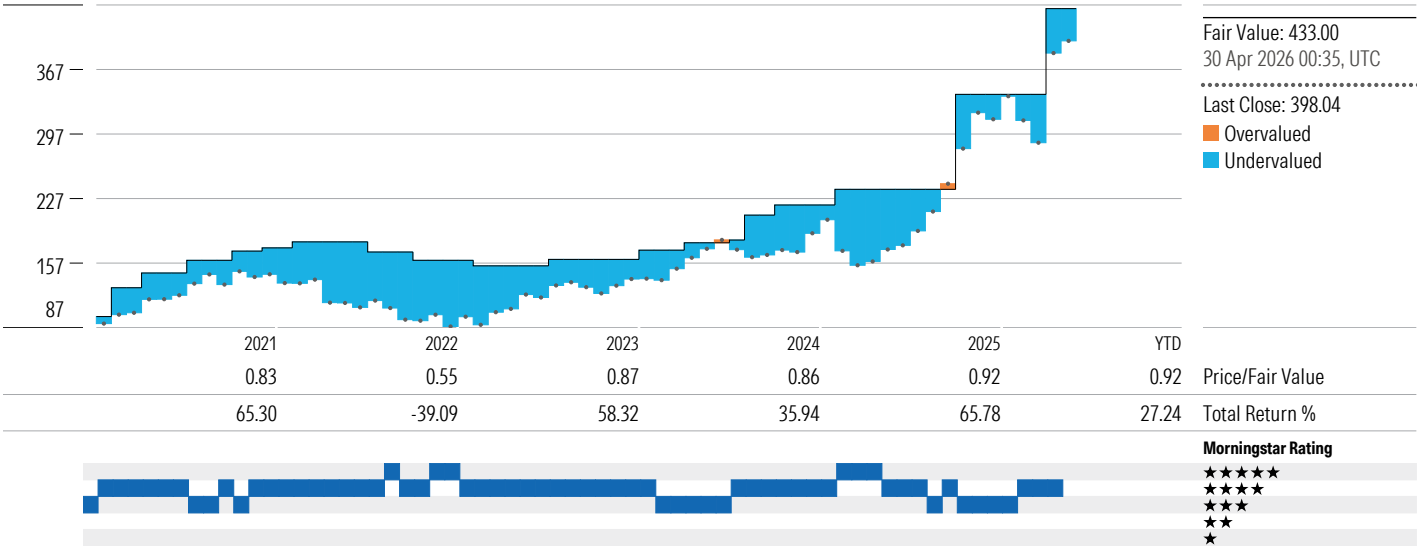
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Competitors Price vs. Fair Value

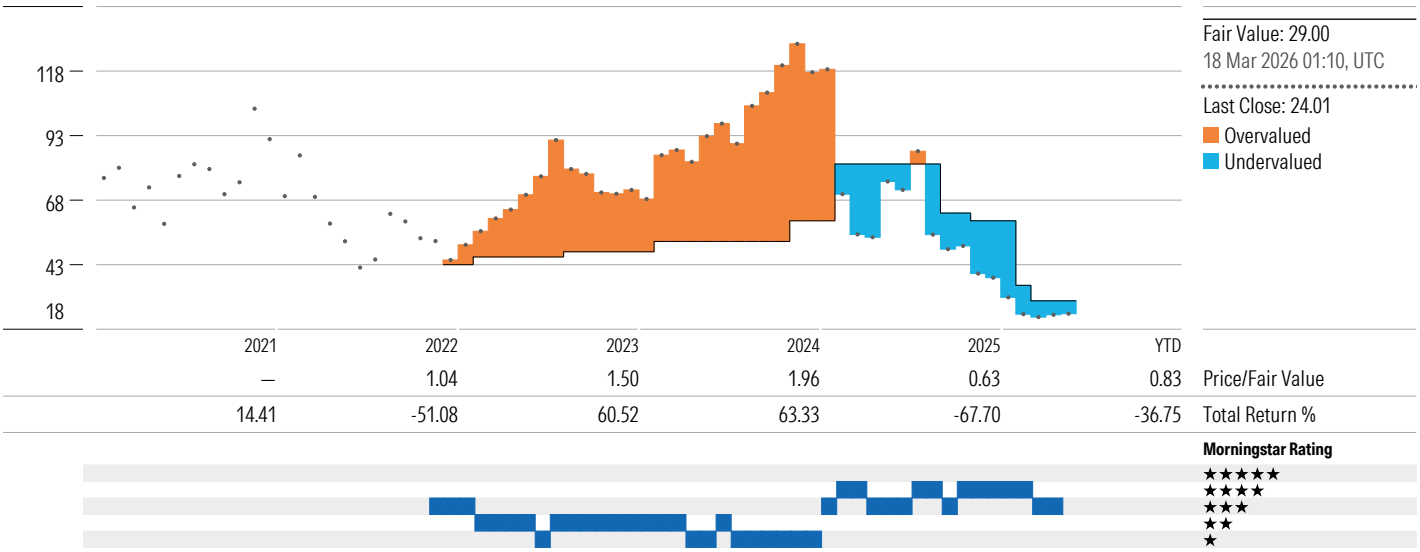
Alphabet Inc Class A GOOGL



	2021	2022	2023	2024	2025	YTD	
	0.83	0.55	0.87	0.86	0.92	0.92	Price/Fair Value
	65.30	-39.09	58.32	35.94	65.78	27.24	Total Return %

Total Return % as of 06 May 2026. Last Close as of 06 May 2026. Fair Value as of 30 Apr 2026 00:35, UTC.

The Trade Desk Inc Class A TTD



	2021	2022	2023	2024	2025	YTD	
	—	1.04	1.50	1.96	0.63	0.83	Price/Fair Value
	14.41	-51.08	60.52	63.33	-67.70	-36.75	Total Return %

Total Return % as of 06 May 2026. Last Close as of 06 May 2026. Fair Value as of 18 Mar 2026 01:10, UTC.

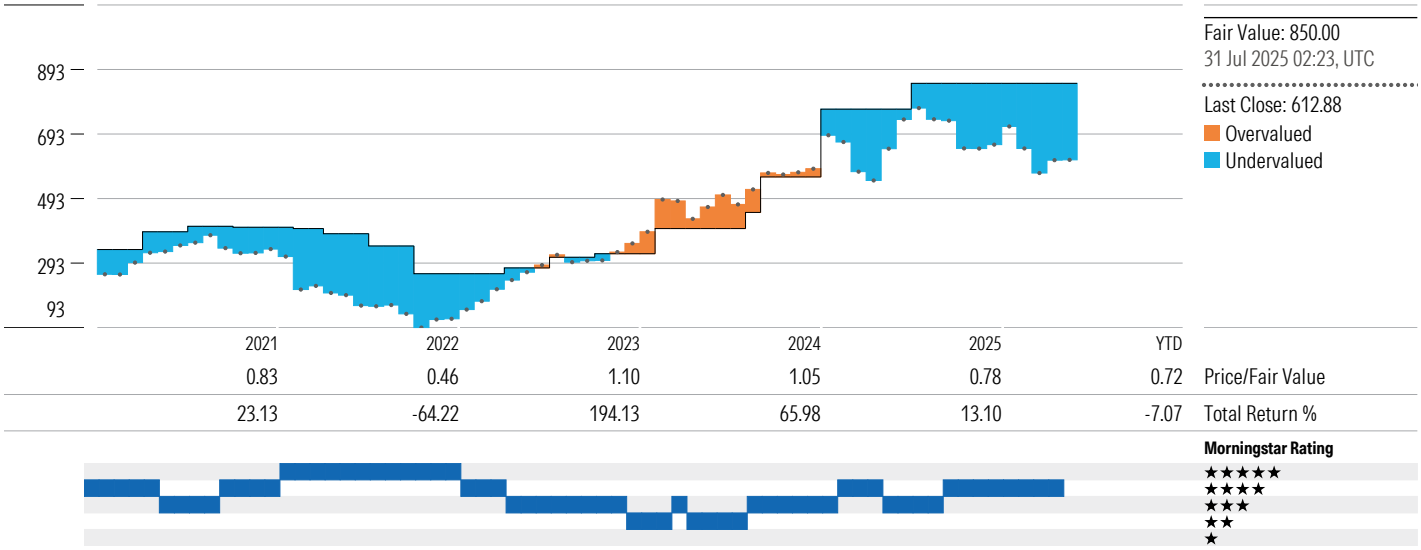
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Competitors Price vs. Fair Value

Meta Platforms Inc Class A META



Total Return % as of 06 May 2026. Last Close as of 06 May 2026. Fair Value as of 31 Jul 2025 02:23, UTC.

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Morningstar Valuation Model Summary

Financials as of 11 Feb 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	2023	2024	2025	2026	2027	2028	2029	2030
Revenue (USD Bil)	3,283	4,709	5,481	7,783	10,495	13,552	16,880	20,406
Operating Income (USD Bil)	648	1,873	4,152	5,121	6,931	8,976	11,206	13,572
EBITDA (USD Bil)	1,137	2,322	4,347	5,782	7,665	9,721	11,881	14,247
Adjusted EBITDA (USD Bil)	1,503	2,720	4,557	6,062	7,937	9,937	12,303	14,655
Net Income (USD Bil)	357	1,580	3,334	3,938	5,319	6,935	8,697	10,566
Adjusted Net Income (USD Bil)	357	1,580	3,334	3,938	5,319	6,935	8,697	10,566
Free Cash Flow To The Firm (USD Bil)	921	2,091	3,554	5,064	5,211	6,797	8,453	10,355
Weighted Average Diluted Shares Outstanding (Bil)	363	348	342	340	338	338	338	338
Earnings Per Share (Diluted) (USD)	0.98	4.54	9.75	11.58	15.72	20.50	25.71	31.24
Adjusted Earnings Per Share (Diluted) (USD)	0.98	4.54	9.75	11.58	15.72	20.50	25.71	31.24
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

Margins & Returns as of 11 Feb 2026		Actual			Forecast					
	3 Year Avg	2023	2024	2025	2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	45.1	19.7	39.8	75.8	65.8	66.0	66.2	66.4	66.5	66.2
EBITDA Margin %	—	34.6	49.3	79.3	74.3	73.0	71.7	70.4	69.8	—
Adjusted EBITDA Margin %	—	45.8	57.8	83.2	77.9	75.6	73.3	72.9	71.8	74.3
Net Margin %	35.1	10.9	33.6	60.8	50.6	50.7	51.2	51.5	51.8	51.2
Adjusted Net Margin %	35.1	10.9	33.6	60.8	50.6	50.7	51.2	51.5	51.8	51.2
Free Cash Flow To The Firm Margin %	45.8	28.1	44.4	64.9	65.1	49.7	50.2	50.1	50.7	53.1

Growth & Ratios as of 11 Feb 2026		Actual			Forecast					
	3 Year CAGR	2023	2024	2025	2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	24.8	16.5	43.4	16.4	42.0	34.8	29.1	24.6	20.9	30.1
Operating Income Growth %	—	-1456.3	189.0	121.6	23.3	35.3	29.5	24.8	21.1	26.7
EBITDA Growth %	106.4	127.8	104.2	87.2	33.0	32.6	26.8	22.2	19.9	26.9
Adjusted EBITDA Growth %	62.4	41.3	81.0	67.6	33.0	30.9	25.2	23.8	19.1	26.3
Earnings Per Share Growth %	—	-289.5	361.7	114.6	18.8	35.8	30.4	25.4	21.5	26.2
Adjusted Earnings Per Share Growth %	—	-289.5	361.7	114.6	18.8	35.8	30.4	25.4	21.5	26.2

Valuation as of 11 Feb 2026	Actual			Forecast				
	2023	2024	2025	2026	2027	2028	2029	2030
Price/Earning	40.7	71.4	69.1	40.5	29.8	22.9	18.2	15.0
Price/Sales	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Price/Book	11.5	103.5	108.0	30.1	16.1	9.4	6.2	4.4
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	0.0	0.0	0.1	0.0	0.0	0.0	0.0	0.0
EV/EBIT	0.0	0.1	0.1	0.0	0.0	0.0	0.0	0.0
Dividend Yield %	—	—	—	—	—	—	—	—
Dividend Payout %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 11 Feb 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	2023	2024	2025	2026	2027	2028	2029	2030
ROA %	6.7	26.9	45.9	35.7	33.1	29.5	26.5	24.0
ROE %	28.4	145.0	156.2	74.2	53.9	41.3	34.1	29.3
ROIC %	20.9	31.9	45.1	64.8	79.5	85.5	89.6	89.5

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	99.6	97.0	2.0	1.9	1.7	1.6	1.5	1.3
Assets/Equity	4.3	5.4	3.4	2.1	1.6	1.4	1.3	1.2
Net Debt/EBITDA	2.3	1.2	0.2	-0.4	-0.9	-1.4	-1.8	-2.2
Total Debt/EBITDA	2.1	1.3	0.8	0.6	0.4	0.4	0.3	0.2
EBITDA/ Net Interest Expense	5.6	9.1	22.9	30.5	40.0	50.3	62.4	74.5

Forecast Revisions as of 12 Feb 2026	2026		2027		2028	
Prior data as of 6 Nov 2025	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	500.00	501.84	—	—	—	—
Revenue (USD Bil)	7,783	5,903	10,495	7,920	13,552	11,088
Operating Income (USD Bil)	5,121	3,866	6,931	5,212	8,976	7,323
EBITDA (USD Bil)	6,062	4,882	7,937	6,182	9,937	8,404
Net Income (USD Bil)	3,938	3,033	5,319	3,932	6,935	5,552
Earnings Per Share (Diluted) (USD)	11.58	8.80	15.72	11.48	20.50	16.31
Adjusted Earnings Per Share (Diluted) (USD)	11.58	8.80	15.72	11.48	20.50	16.31
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00

Key Valuation Drivers as of 11 Feb 2026

Cost of Equity %	9.0
Pre-Tax Cost of Debt %	8.0
Weighted Average Cost of Capital %	9.0
Long-Run Tax Rate %	20.0
Stage II EBI Growth Rate %	4.0
Stage II Investment Rate %	30.0
Perpetuity Year	15

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 11 Feb 2026

	USD Mil
Present Value Stage I	66,428,033
Present Value Stage II	25,745,956
Present Value Stage III	77,295,703
Total Firm Value	**169,469,692**
Cash and Equivalents	2,487,096
Debt	3,512,987
Other Adjustments	0
Equity Value	**168,443,801**
Projected Diluted Shares	340
Fair Value per Share (USD)	**500.00**

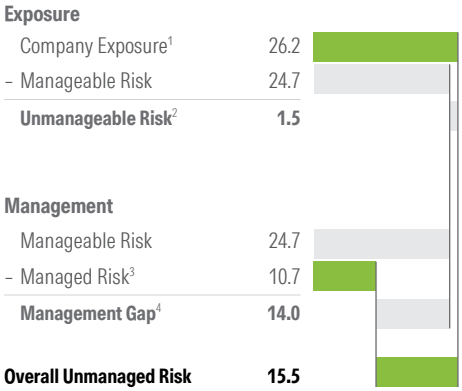
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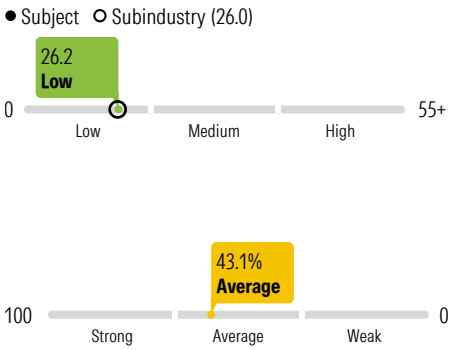
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AppLovin Corp Ordinary Shares - Class A APP ★★★ 6 May 2026 23:48, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
468.83 USD 6 May 2026	500.00 USD 6 Nov 2025 21:04, UTC	0.94	157.65 USD Bil 6 May 2026	Narrow	Large Growth	Very High	Standard	5 May 2026 05:00, UTC

ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating Assessment[5]



ESG Risk Rating is of May 05, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Entertainment Software. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 43.1% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 05 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
AppLovin Corp	26.2 | Low	0	55+	43.1 | Average	100	0	15.5 | Low	0	40+
Alphabet Inc	42.6 | Medium	0	55+	57.3 | Strong	100	0	19.9 | Low	0	40+
Digital Turbine Inc	38.1 | Medium	0	55+	34.0 | Average	100	0	26.0 | Medium	0	40+
Meta Platforms Inc	44.3 | Medium	0	55+	49.2 | Average	100	0	24.3 | Medium	0	40+
The Trade Desk Inc	31.9 | Low	0	55+	33.7 | Average	100	0	21.8 | Medium	0	40+

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Appendix

Historical Morningstar Rating

AppLovin Corp Ordinary Shares - Class A APP 6 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
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Alphabet Inc Class A GOOGL 6 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★	★★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★

The Trade Desk Inc Class A TTD 6 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	—	—	—	—	—	—	—	—	—	—	—

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Meta Platforms Inc Class A META 6 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

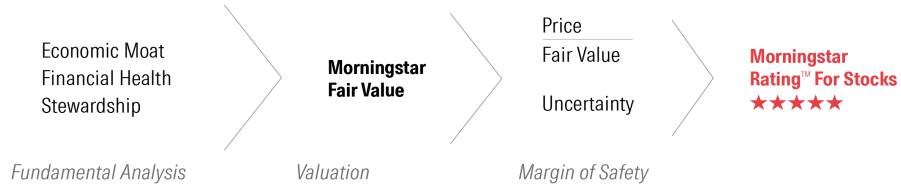
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

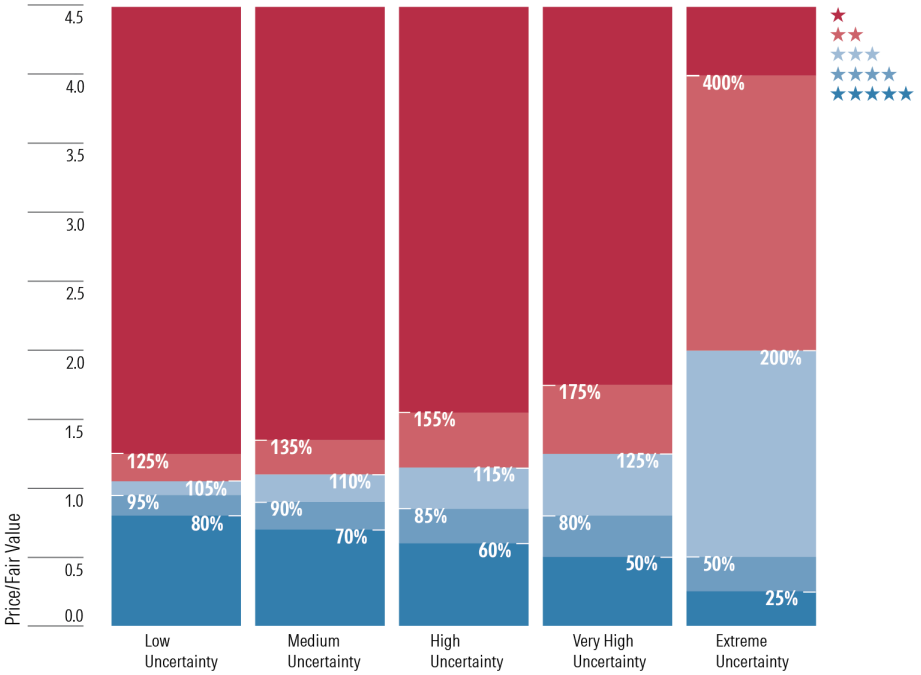
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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